

BSE - Bombay Stock Exchange

Sensex is an index of the top 30 listed companies in India. Sensex is managed by the Bombay Stock Exchange (BSE). Each company contributes to the overall portfolio. For example, 6.3% of Sensex is contributed by HDFC. These are also called 'weights'. The companies keep on changing and so does their weight of each one. Each stock in Sensex moves and the movement is multiplied by their weights. This gives the overall change in sensex on a daily basis. We can see the weights in the next page.



NSE - National Stock Exchange

Nifty works in a manner exactly similar to Sensex, however, instead of covering the top 30 companies in India, they cover the top 50 companies. Also, Nifty is managed by the National Stock Exchange (NSE)

